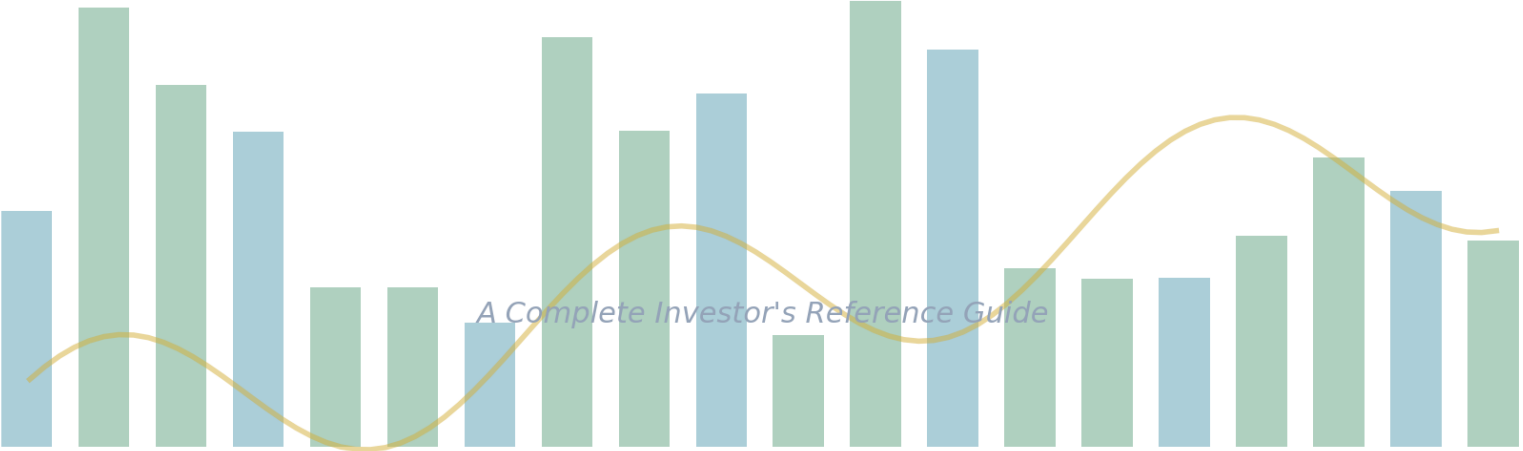


ANALYSIS

MASTERY

Financial Statements · Valuation · Ratios · Macro Economics
Industry Analysis · DCF Modelling · Earnings · Investment Framework



A decorative graphic at the bottom of the page featuring a series of vertical bars in alternating blue and green colors. A smooth, wavy yellow line is overlaid on the bars, creating a sense of movement and flow. The text 'A Complete Investor's Reference Guide' is centered over the bars.

A Complete Investor's Reference Guide

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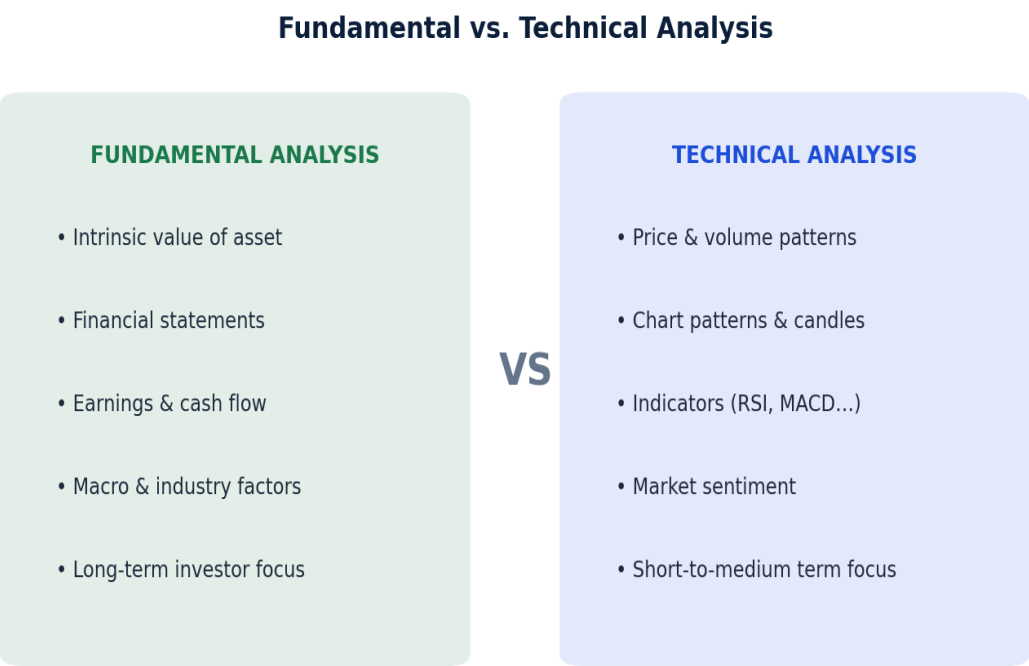
CHAPTER 1

Introduction to Fundamental Analysis

Fundamental analysis (FA) is the process of determining the **intrinsic value** of a security by examining related economic, financial, and qualitative factors. The central premise, championed by Benjamin Graham and later refined by Warren Buffett, is simple: *price is what you pay, value is what you get*. When the market price falls below intrinsic value, a buying opportunity exists. When it rises above, it may be time to sell.

Unlike technical analysis, which studies historical price and volume patterns, fundamental analysis asks **why** a company is worth what it is — and whether the current price accurately reflects that worth.

Fundamental vs. Technical Analysis

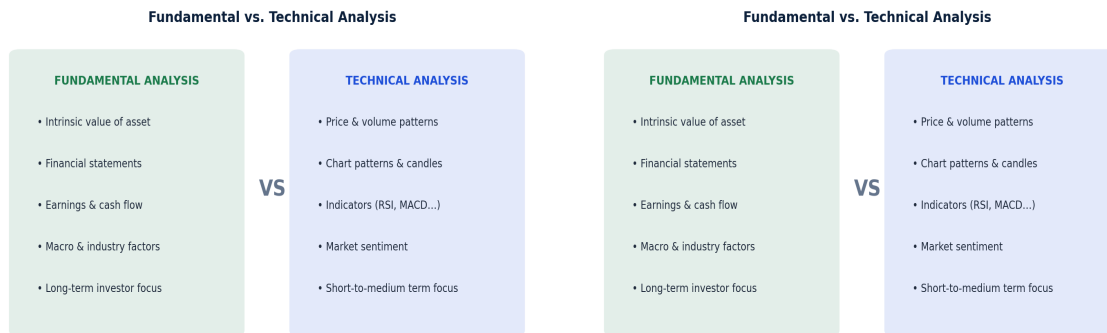


FA focuses on intrinsic business value; TA focuses on price behaviour and market psychology

The FA Hierarchy — Three Levels

Level	Focus	Key Questions
Macroeconomic	Economy-wide factors	Is the economy growing? Where are interest rates?
Industry / Sector	Competitive dynamics	Is the industry growing? Who leads the market?
Company-Specific	Financial health & value	Is this company profitable, cheap, and well-run?

Top-Down vs. Bottom-Up Investing



Top-Down: Start with macro → sector → company

Bottom-Up: Start with company regardless of macro

Top-Down: Begin with the global economy, narrow to a country, then a sector, then select individual stocks within that favourable sector. Used by macro hedge funds. **Bottom-Up:** Focus on finding outstanding companies with strong fundamentals regardless of macro conditions. Used by value and growth investors like Buffett and Lynch.

CORE FA PRINCIPLE — Intrinsic Value vs. Market Price

Intrinsic Value: The true worth of a business based on its future cash flows, discounted to today.

Market Price: What the stock exchange says it's worth at this moment (driven by emotions).

Mr. Market (Benjamin Graham): The market is a manic-depressive — sometimes too optimistic, sometimes too pessimistic.

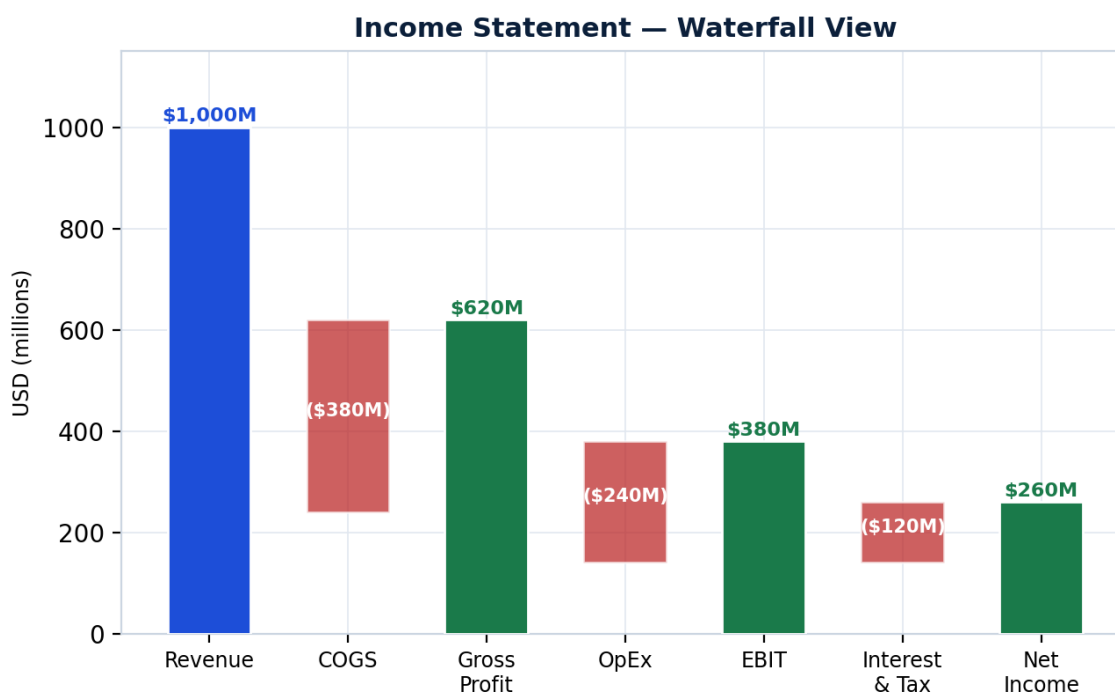
Your Edge: When Mr. Market is pessimistic and prices a great business far below intrinsic value — that is your margin of safety.

CHAPTER 2

The Income Statement

The income statement (also called the Profit & Loss or P&L; statement) shows how much money a company earned and spent over a specific period — typically a quarter or year. It is the **scorecard of profitability** and the most-watched financial statement by investors.

Income Statement Waterfall



Revenue flows down through deductions to reveal progressively 'cleaner' profit metrics

Line Item	Formula	What It Measures
Revenue (Sales)	Price × Units Sold	Total income from core business operations
Gross Profit	Revenue – COGS	Profit after production costs; tests pricing power
EBIT	Gross Profit – OpEx	Profit from operations before interest & tax
EBITDA	EBIT + D&A;	Proxy for operating cash generation; used in valuation
Net Income	EBIT – Interest – Tax	Bottom-line profit available to shareholders
EPS (Basic)	Net Income ÷ Shares Outstanding	Profit per share of common stock

Key Margin Formulas

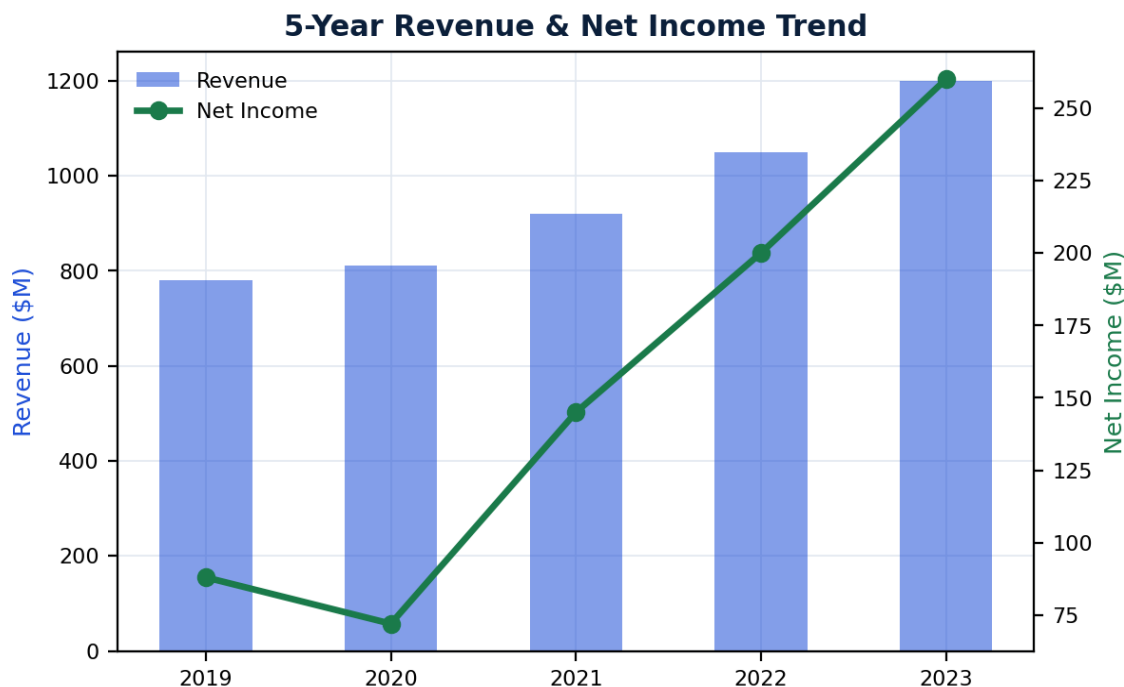
$$\text{Gross Margin} = \text{Gross Profit} \div \text{Revenue} \times 100$$

$$\text{Operating Margin} = \text{EBIT} \div \text{Revenue} \times 100$$

$$\text{Net Profit Margin} = \text{Net Income} \div \text{Revenue} \times 100$$

$$\text{EBITDA Margin} = \text{EBITDA} \div \text{Revenue} \times 100$$

5-Year Revenue & Earnings Trend



Consistent revenue growth + expanding net income = improving profitability and operating leverage

Investors look for consistent **revenue growth (CAGR > 10%)** alongside **margin expansion** — net income growing faster than revenue signals improving efficiency and pricing power. Watch for one-time items (restructuring charges, asset sales) that distort the true picture — always examine **operating earnings** and **adjusted EPS** alongside GAAP figures.

RED FLAGS on the Income Statement

Revenue declining 2+ consecutive quarters — demand erosion or competitive loss.

Gross margin shrinking — input cost inflation, pricing pressure, or cheap competition.

Net income growing while operating income falls — reliance on non-operating gains (unsustainable).

EPS beats driven by share buybacks, not earnings growth — check shares outstanding over time.

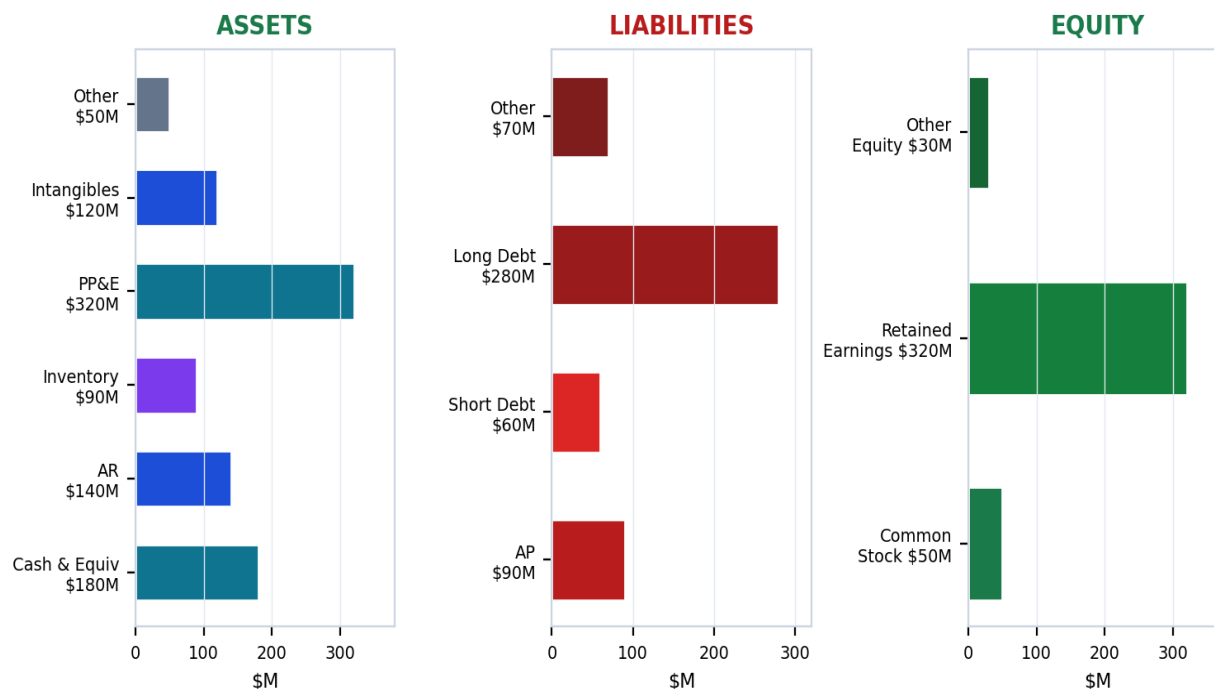
Frequent 'one-time' charges that appear every year — likely recurring, not exceptional.

CHAPTER 3

The Balance Sheet

The balance sheet is a **snapshot of a company's financial position** at a specific point in time. It follows the fundamental accounting equation: **Assets = Liabilities + Shareholders' Equity**. It tells you what a company owns, what it owes, and what's left over for shareholders.

Balance Sheet Structure (Assets = Liabilities + Equity)



Balance Sheet: Assets (left) must always equal Liabilities + Equity (right) — the golden equation

Assets — What the Company Owns

Asset Type	Examples	FA Significance
Cash & Equivalents	Cash, T-bills, MMFs	War chest for acquisitions, dividends, buybacks
Accounts Receivable	Money owed by customers	Rising AR vs revenue = collection risk
Inventory	Raw materials, WIP, finished goods	High inventory = demand risk; check turnover
PP&E;	Factories, machinery, real estate	Capital-intensive business; depreciation matters
Intangible Assets	Patents, brands, goodwill	Key for tech/pharma; impairment risk
Investments	Stakes in other companies	Berkshire-style; adds hidden value

Liabilities & Equity

Current Liabilities are due within 12 months (accounts payable, short-term debt). **Long-Term Liabilities** include bonds, loans, and deferred tax. High long-term debt raises bankruptcy risk in downturns — always check the **Debt/EBITDA ratio** (< 3x is generally healthy). **Shareholders' Equity** = Assets – Liabilities, and represents the net worth attributable to owners.

Working Capital — Short-Term Financial Health

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

Positive working capital means the company can meet near-term obligations. Rapid deterioration in working capital often precedes cash flow problems. The **Cash Conversion Cycle (CCC)** measures how efficiently a company turns inventory and receivables into cash — shorter is better.

BALANCE SHEET HEALTH CHECKLIST

Current Ratio > 1.5: Enough current assets to cover near-term liabilities.

Debt/Equity < 1.0: More equity-funded than debt-funded (lower financial risk).

Growing Retained Earnings: Profits being reinvested — compounding internally.

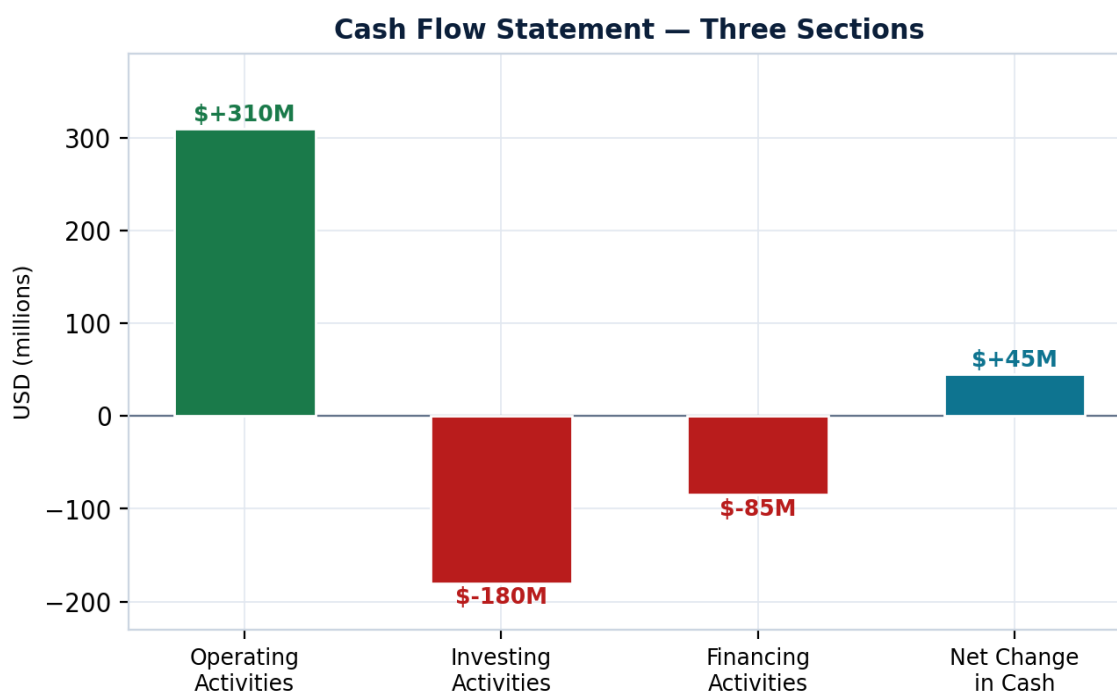
Goodwill < 20% of Total Assets: Excess goodwill signals acquisition-heavy strategy (impairment risk).

Cash > Short-Term Debt: No near-term refinancing crisis.

CHAPTER 4

The Cash Flow Statement

Warren Buffett famously said: "Accounting is the language of business, but cash is the truth." The cash flow statement (CFS) eliminates non-cash accounting entries and shows exactly how much **real cash** moved in and out of the business during a period. It is often the most reliable financial statement.

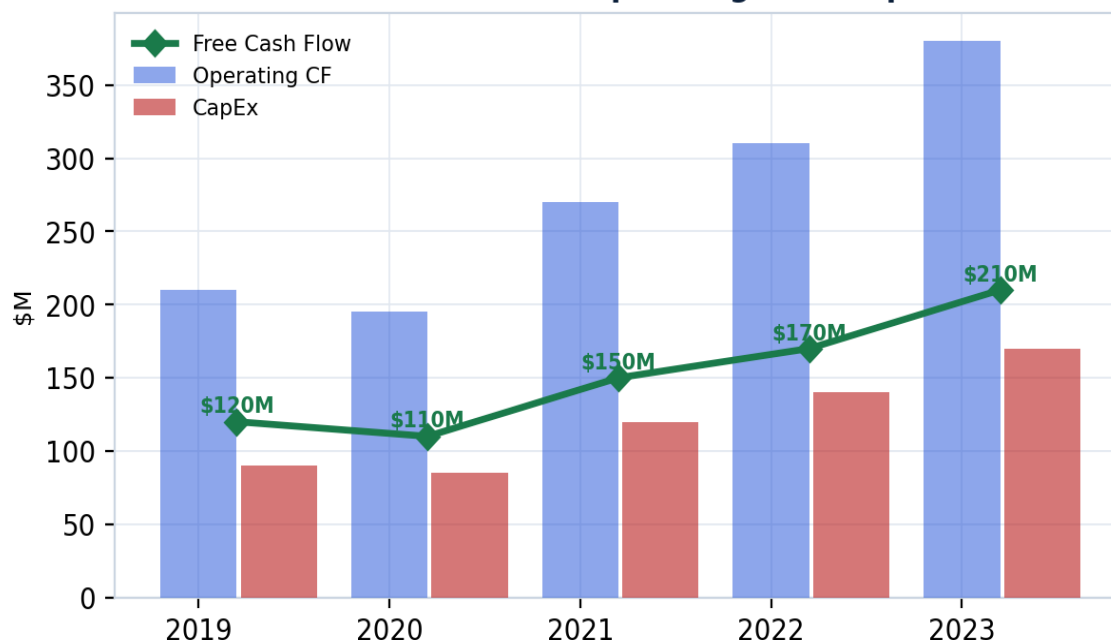


Operating CF should be strongly positive; Investing CF negative (growth) is healthy; Net Cash tells liquidity story

Section	Source	Healthy Sign	Warning Sign
Operating CF	Core business operations	Strong positive; > Net Income	Negative or declining trend
Investing CF	Asset purchases/sales	Negative (growth CapEx)	Selling assets to fund operations
Financing CF	Debt & equity transactions	Buybacks/dividends = mature co.	Heavy borrowing every year

Free Cash Flow — The Gold Standard Metric

Free Cash Flow = Operating CF – CapEx



FCF = Operating CF – CapEx. Rising FCF means the business is generating true owner earnings.

Free Cash Flow (FCF) = Operating Cash Flow – Capital Expenditures

FCF is the cash left over after maintaining and expanding the asset base — it's what the company can use for dividends, buybacks, debt repayment, or acquisitions. **FCF yield** = FCF per share ÷ Stock Price — a yield above 5% is often attractive. Compare FCF to Net Income: consistently high FCF relative to earnings signals high-quality, asset-light business models.

FCF Analysis — Why It Beats Net Income

Net Income includes non-cash charges (depreciation, amortisation) and accruals — cash does not.

Companies can legally manage earnings via accounting choices; FCF is harder to manipulate.

Negative FCF + positive Net Income = earnings are not being converted to cash (red flag).

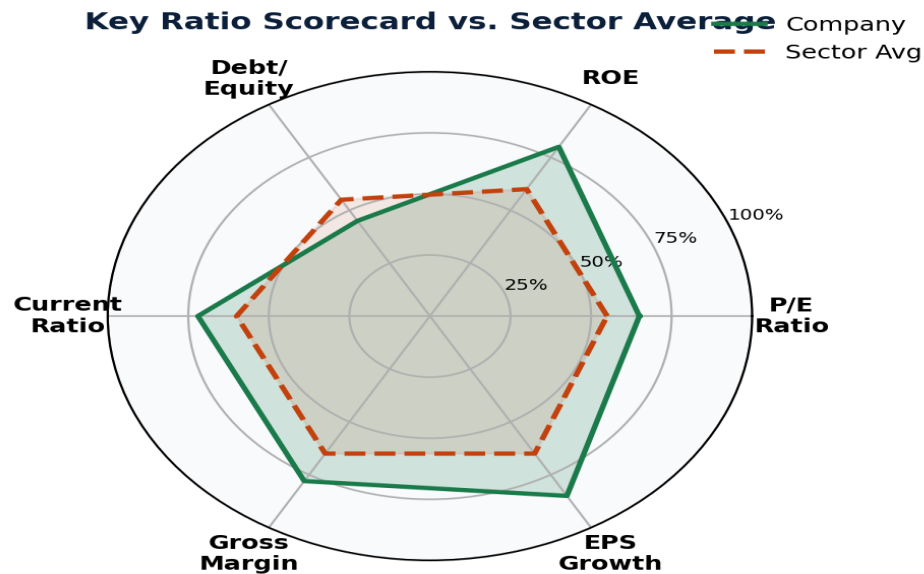
FCF growing faster than revenue = improving operating leverage (green flag).

FCF/Share sustained growth of 15%+ per year = elite business quality (Buffett-grade).

CHAPTER 5

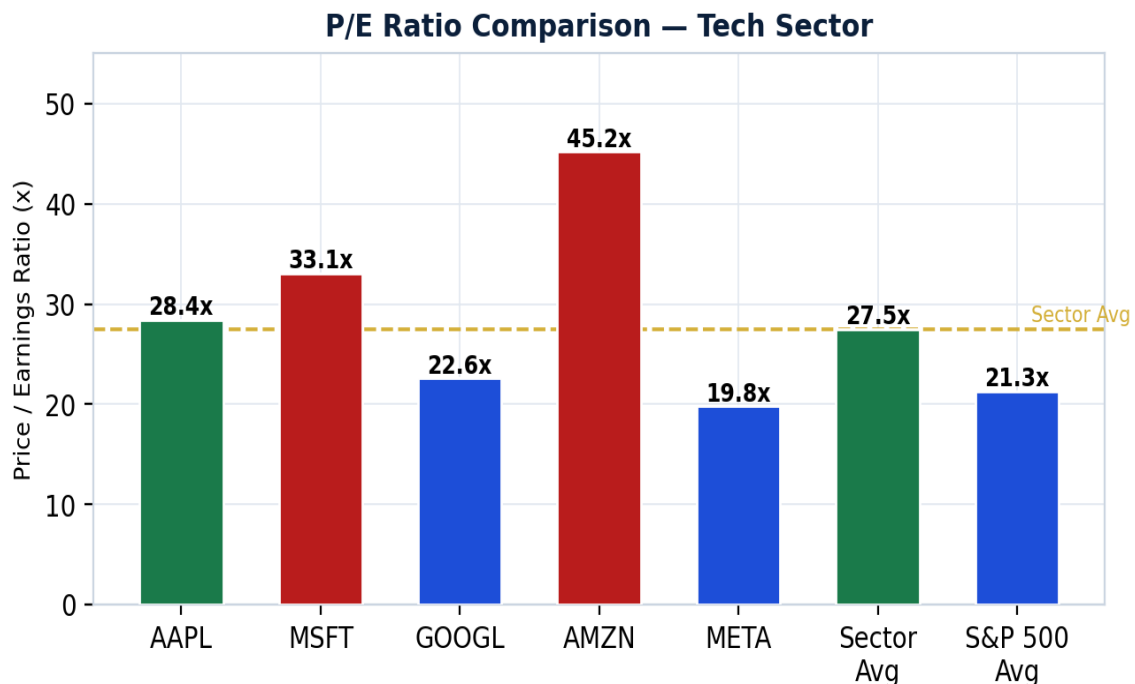
Key Financial Ratios

Financial ratios compress complex financial data into a single number that can be compared across time and against peers. A ratio in isolation is meaningless — context comes from **trend analysis** (is it improving?), **peer comparison** (better or worse than competitors?), and **sector benchmarks** (does the industry skew high or low?).



Ratio Scorecard: Company (green) outscores sector average (orange) across most dimensions

Valuation Ratios — Is the Stock Cheap or Expensive?

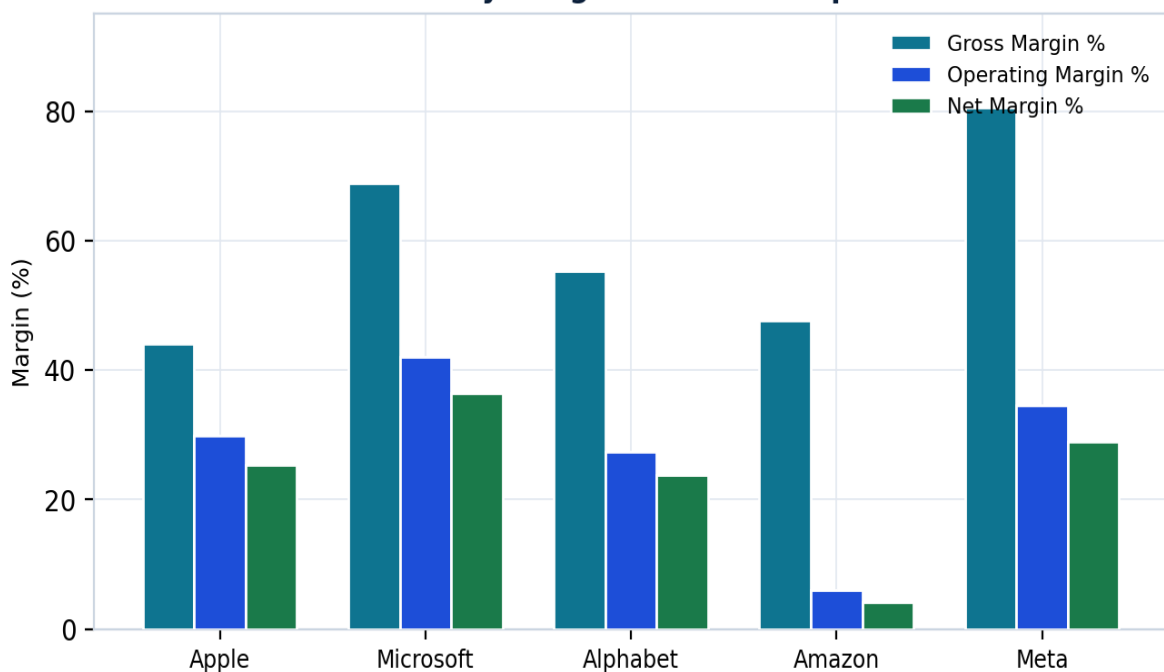


P/E Comparison: Stocks above sector average P/E need superior growth to justify the premium

Ratio	Formula	Interpretation	Benchmark
P/E (Trailing)	Price ÷ EPS	How much you pay per \$1 of earnings	S&P; 500 avg: ~20-22x
Forward P/E	Price ÷ Forward EPS	Cheaper if earnings expected to grow	Compare vs. historical avg
P/S (Price/Sales)	Mkt Cap ÷ Revenue	Useful for unprofitable growth companies	< 2x often cheap; > 10x expensive
P/B (Price/Book)	Price ÷ Book Value/Share	Value vs. net assets	< 1x = trading below book
EV/EBITDA	Enterprise Value ÷ EBITDA	Capital-structure neutral valuation	< 10x often attractive
PEG Ratio	P/E ÷ EPS Growth Rate	Adjusts P/E for growth speed	< 1.0 = potentially undervalued

Profitability Ratios — Is Management Creating Value?

Profitability Margins — Peer Comparison



Profitability Margin Comparison: High gross margin + high net margin = superior business quality

Ratio	Formula	What It Measures	Elite Level
ROE	Net Income ÷ Shareholders' Equity	Return on owner's capital	> 20%
ROA	Net Income ÷ Total Assets	Efficiency of all assets deployed	> 10%

ROIC	$\text{NOPAT} \div \text{Invested Capital}$	Return above cost of capital (WACC)	> 15%
Gross Margin	$\text{Gross Profit} \div \text{Revenue}$	Pricing power & cost efficiency	> 40%
Net Margin	$\text{Net Income} \div \text{Revenue}$	Bottom-line profitability	> 20%

Liquidity & Leverage Ratios — Can It Survive?

Ratio	Formula	Healthy Range	Warning Sign
Current Ratio	$\text{Current Assets} \div \text{Current Liabilities}$	1.5 – 3.0x	< 1.0x (can't pay bills)
Quick Ratio	$(\text{Cash} + \text{AR}) \div \text{Current Liabilities}$	1.0 – 2.0x	< 0.8x (liquidity squeeze)
Debt/Equity	$\text{Total Debt} \div \text{Shareholders' Equity}$	< 1.0x	> 2.0x (over-leveraged)
Interest Coverage	$\text{EBIT} \div \text{Interest Expense}$	> 5.0x	< 2.0x (debt distress risk)
Net Debt/EBITDA	$\text{Net Debt} \div \text{EBITDA}$	< 2.5x	> 4.0x (high leverage)

THE DUPONT DECOMPOSITION — Understanding ROE Deeply

$\text{ROE} = \text{Net Profit Margin} \times \text{Asset Turnover} \times \text{Equity Multiplier (Leverage)}$

Net Profit Margin: Are they converting revenue to profit efficiently?

Asset Turnover: Are they generating revenue from assets efficiently?

Equity Multiplier: How much leverage amplifies returns (and risk)?

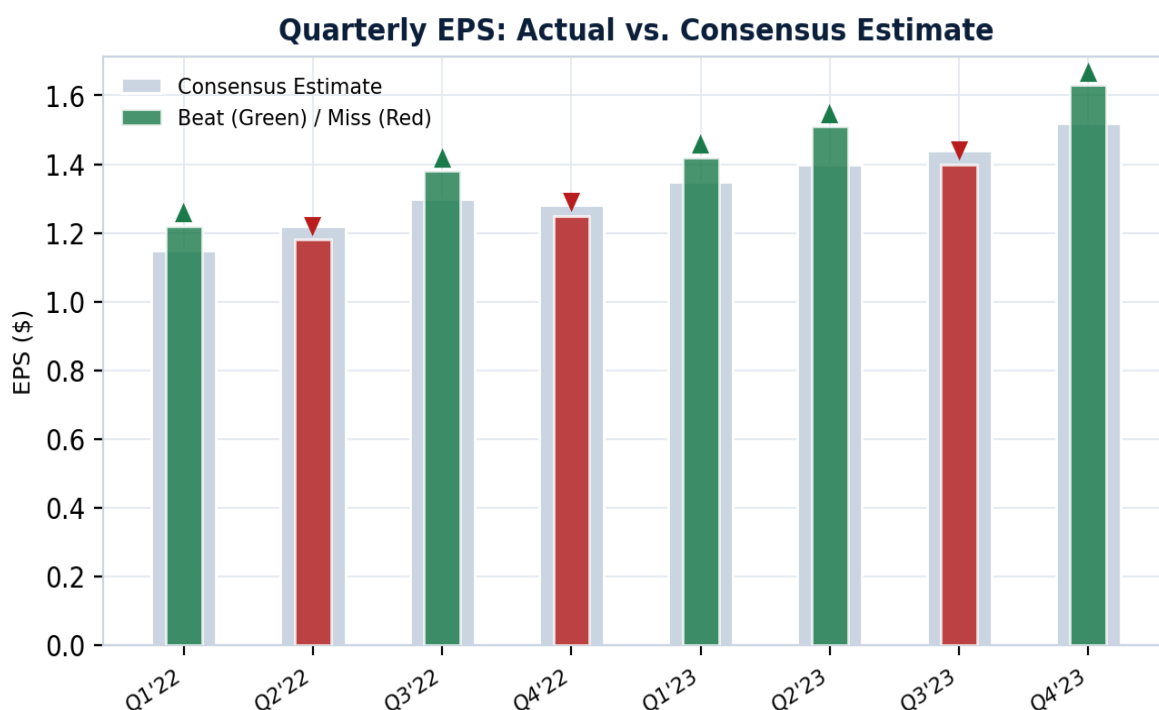
High ROE from high margins + turnover = HIGH QUALITY | High ROE from leverage alone = RISKY

CHAPTER 6

Earnings Analysis

Four times per year, publicly listed companies report their financial results — **earnings season**. These reports trigger the largest single-day price moves in stocks. Understanding how to read, interpret, and anticipate earnings is one of the most powerful edges a fundamental investor can develop.

EPS Beats & Misses vs. Consensus Estimates



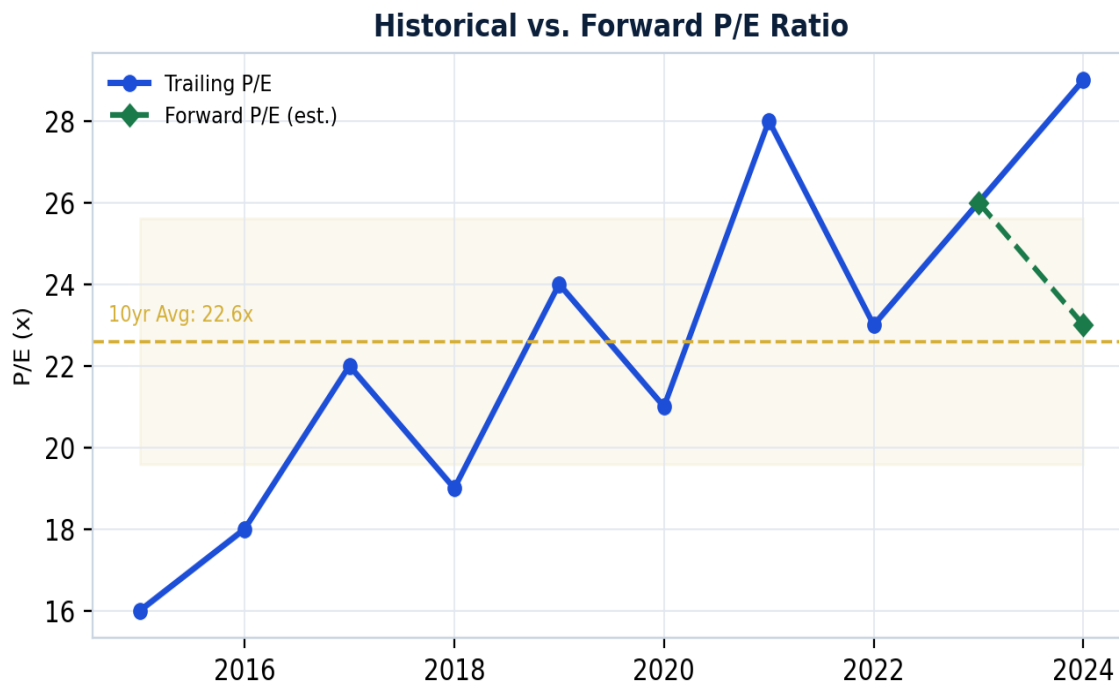
EPS beats (green ▲) drive price appreciation; misses (red ▼) cause sharp selloffs — even in good numbers

Wall Street analysts publish consensus EPS and revenue estimates before earnings. What matters is not the absolute result but **the surprise vs. expectations**. A company can report record profits and still fall 10% if it missed estimates by 2¢.

Scenario	Stock Reaction	FA Interpretation
Big Beat + Guidance Raised	Strong rally (+5 to +15%)	Demand robust; management confident; buy
Small Beat + Guidance Flat	Muted or slight pullback	In-line; priced in; look for entry on dip
Miss + Guidance Lowered	Sharp selloff (-10 to -25%)	Demand weakness; re-evaluate thesis
Beat + Guidance Lowered	Initial rally, then reversal	One-time factor; future is deteriorating

Miss + Guidance Raised	Confused reaction; often recovers	Temporary issue; management sees improvement
------------------------	-----------------------------------	--

Forward P/E & Analyst Estimates



Forward P/E vs. 10-year average: stocks trading above their historical norm need exceptional growth to justify it

The **forward P/E** uses the next 12 months' estimated EPS — it tells you how expensive the market is pricing future earnings. When the forward P/E is significantly above the 10-year average, the stock is pricing in a lot of optimism. When it's below, the market may be overly pessimistic — a potential opportunity.

EARNINGS ANALYSIS CHECKLIST

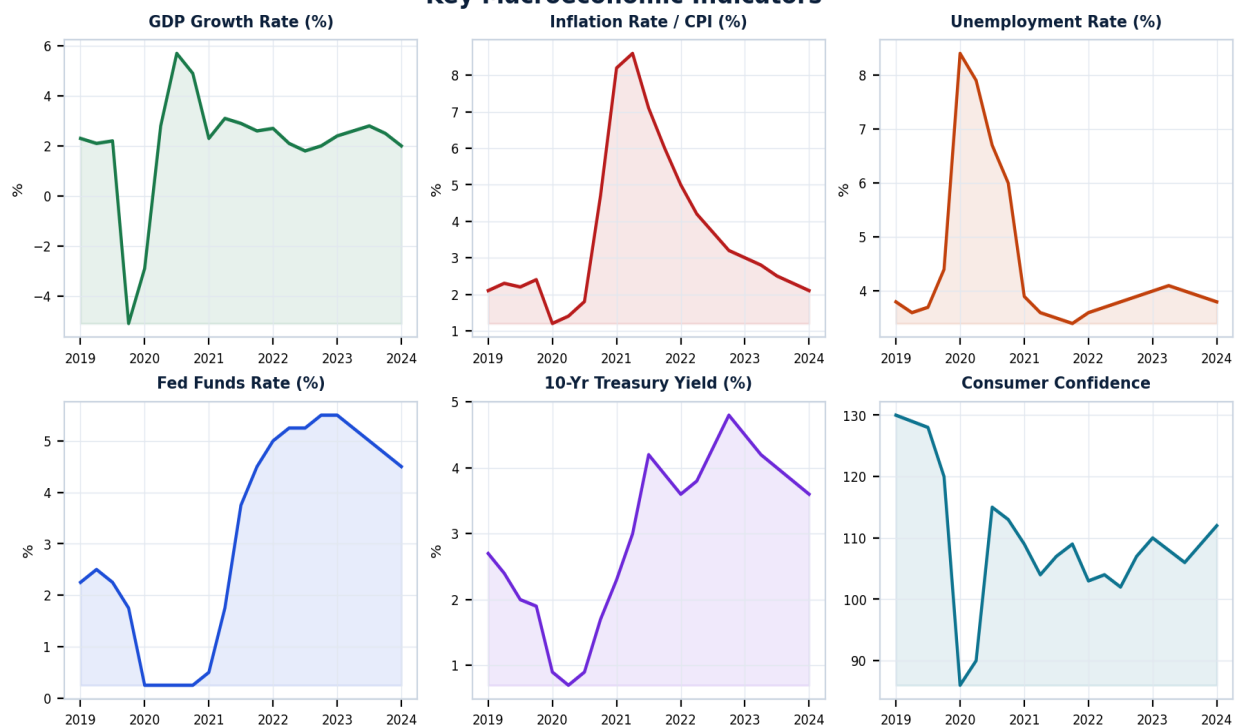
1. Did EPS and Revenue beat consensus estimates? By how much?
2. What did management guide for next quarter and full year?
3. Are gross margins expanding or contracting? (profitability trend)
4. Is revenue growth accelerating or decelerating? (momentum)
5. What is the reason for any beat or miss? (one-time vs. structural)
6. Did management raise, lower, or maintain full-year guidance?
7. What is the market's reaction to the report? (price tells you the surprise)

CHAPTER 7

Macroeconomic Analysis

Even the best company in the world can see its stock price fall 50% in a recession. Macro analysis identifies the **tide** — whether it is rising or falling. You can be a brilliant stock picker, but if you swim against a macro tide (rising rates, contracting GDP, credit crunch), results will disappoint. Understanding macro gives you the broader context to size positions and manage risk intelligently.

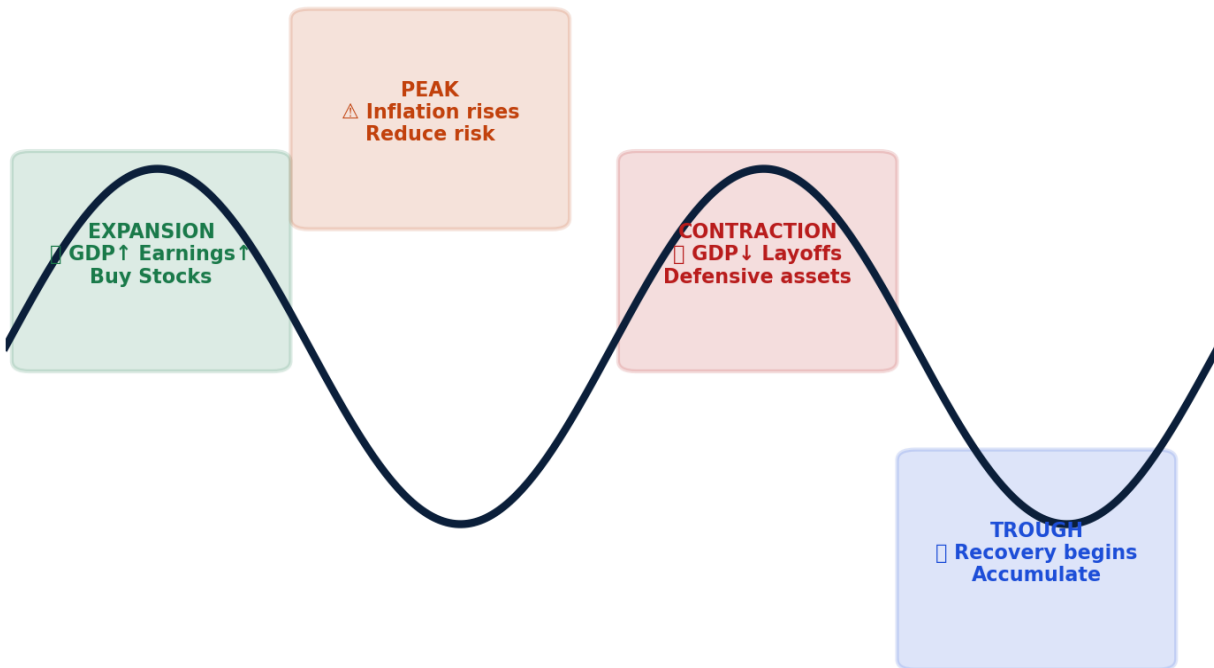
Key Macroeconomic Indicators



Key macro indicators: GDP, CPI, unemployment, Fed funds rate, treasury yields, consumer confidence

The Economic Business Cycle

The Economic / Business Cycle



Business Cycle: Asset allocation and sector preferences shift dramatically through each phase

Phase	GDP	Inflation	Unemployment	Best Assets	Avoid
Expansion	Rising	Moderate	Falling	Equities, Real Estate	Cash, Bonds
Peak	High	Rising	Low	Commodities, Energy	Long-duration bonds
Contraction	Falling	High→Low	Rising	Bonds, Gold, Staples	Tech, Discretionary
Trough	Low	Low	High	Stocks (early cycle), IG Bonds	Commodities

Interest Rates & Equity Valuations

Interest rates are the **gravity of asset prices**. When rates rise, the discount rate used in DCF models increases — future cash flows are worth less today — so valuations compress. High-P/E growth stocks are particularly sensitive because more of their value lies in distant future earnings. When rates fall, valuations expand.

Intrinsic Value = FCF ÷ (WACC – Growth Rate) [Gordon Growth Model]

The **yield curve** (relationship between 2-year and 10-year Treasury yields) is a leading economic indicator. An **inverted yield curve** (2Y > 10Y) has preceded every U.S. recession since 1955, typically by 12–18 months. Monitor the 10Y–2Y spread closely.

KEY MACRO INDICATORS TO MONITOR MONTHLY

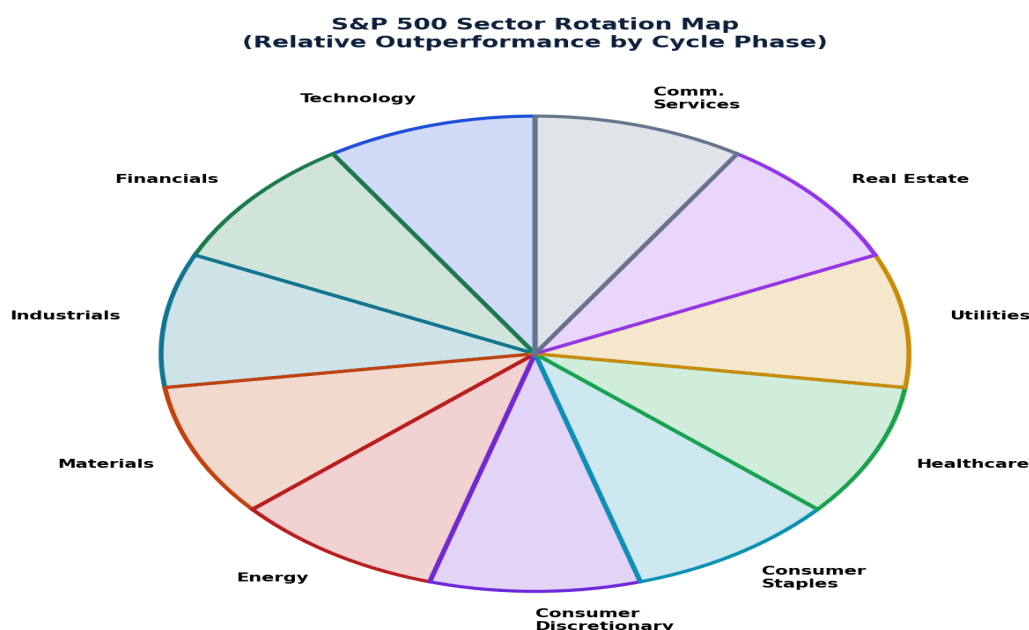
GDP Growth Rate: > 2.5% = healthy expansion; < 0% = contraction/recession.
CPI / Inflation: 2% = Fed target; > 4% = rate hike pressure; rising hurts P/E multiples.
Fed Funds Rate: Rising = headwind for equities; Falling = tailwind (especially growth stocks).
Unemployment Rate: < 4% = tight labour; rising sharply = recession signal.
10Y Treasury Yield: Rising = discount rate rises; compression hurts long-duration assets.
ISM Manufacturing PMI: > 50 = expansion; < 50 = contraction; leading economic indicator.
Consumer Confidence: Signals future spending; drives consumer discretionary sector performance.

CHAPTER 8

Industry & Sector Analysis

Studies show that **up to 50% of a stock's performance** is attributable to its industry or sector, and another 30% to macroeconomic conditions — leaving only 20% to company-specific factors. This makes industry analysis critically important. A mediocre company in a great industry often outperforms a great company in a terrible industry.

Sector Rotation — Timing the Cycle

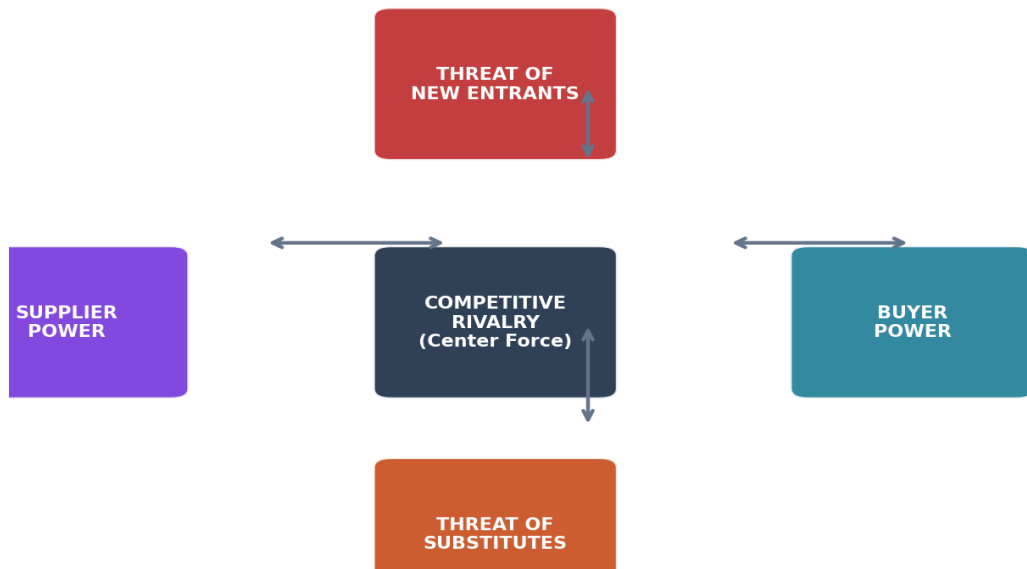


Sector Rotation: Different sectors lead at different phases of the economic and market cycle

Cycle Phase	Leading Sectors	Lagging Sectors	Logic
Early Recovery	Financials, Consumer Disc.	Utilities, Staples	Risk appetite returns; credit expands
Mid Expansion	Technology, Industrials	Energy	Capex cycle; productivity investment
Late Cycle	Energy, Materials, Commodities	Tech, Biotech	Inflation + commodity demand peaks
Recession	Healthcare, Staples, Utilities	Financials, Cyclical	Defensive earnings hold up

Porter's Five Forces — Industry Attractiveness

Porter's Five Forces — Industry Analysis Framework



Porter's Five Forces: Industries with weak competitive forces generate sustainably high profits

Force	High Threat (Bad)	Low Threat (Good for Incumbents)
Competitive Rivalry	Many similar competitors; price wars	Few players; differentiated products
Threat of New Entrants	Low barriers; easy to copy	High capital needs; regulation; patents
Supplier Power	Few suppliers; can raise prices	Many suppliers; commoditised inputs
Buyer Power	Buyers can switch easily; price sensitive	Switching costs high; loyal customers
Threat of Substitutes	Alternative products readily available	No viable alternatives exist

Competitive Moats — The Source of Durable Advantage

Warren Buffett coined the term **economic moat** — a sustainable competitive advantage that protects long-term returns from competition. The five main moat sources are:

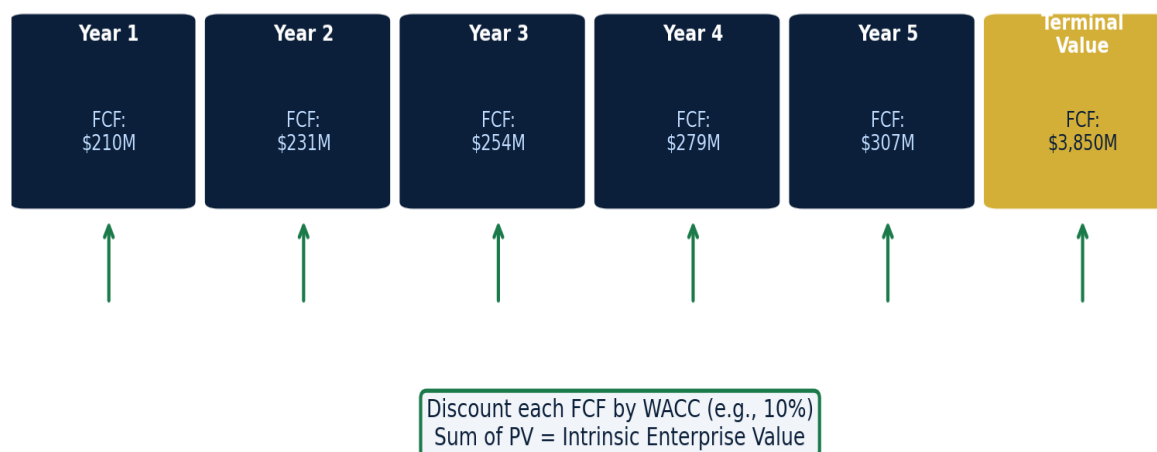
- **Network Effects:** Value increases as more users join (Visa, Meta, Airbnb). The strongest moat.
- **Switching Costs:** Painful or costly to switch to a competitor (Salesforce, Adobe, Bloomberg).
- **Cost Advantages:** Produce at lower cost than competitors through scale, process, or location (Walmart, Amazon).
- **Intangible Assets:** Brands, patents, regulatory licences that block competition (Coca-Cola, Pfizer, Moody's).
- **Efficient Scale:** Market too small to attract competitors; niche dominance (waste management, local utilities).

Company Valuation Methods

Valuation is the art and science of determining what a business is worth. No single method is perfect — professional analysts use multiple approaches and triangulate to a **valuation range**, then apply a **margin of safety**. The goal: buy a dollar of value for fifty cents.

1. Discounted Cash Flow (DCF) — Absolute Valuation

DCF Valuation — Discounted Cash Flow Model



$$\text{Intrinsic Value per Share} = (\text{Enterprise Value} - \text{Net Debt}) \div \text{Shares Outstanding}$$

DCF: Project FCF for 5 years + terminal value, discount at WACC. Sum = Enterprise Value.

DCF is the gold standard of intrinsic valuation. You project **Free Cash Flows** for 5–10 years, calculate a **Terminal Value** (what the business is worth after the forecast period), and discount everything back to today at the company's **Weighted Average Cost of Capital (WACC)**.

$$\text{Enterprise Value} = \sum [\text{FCF}_t \div (1+\text{WACC})^t] + \text{Terminal Value} \div (1+\text{WACC})^n$$

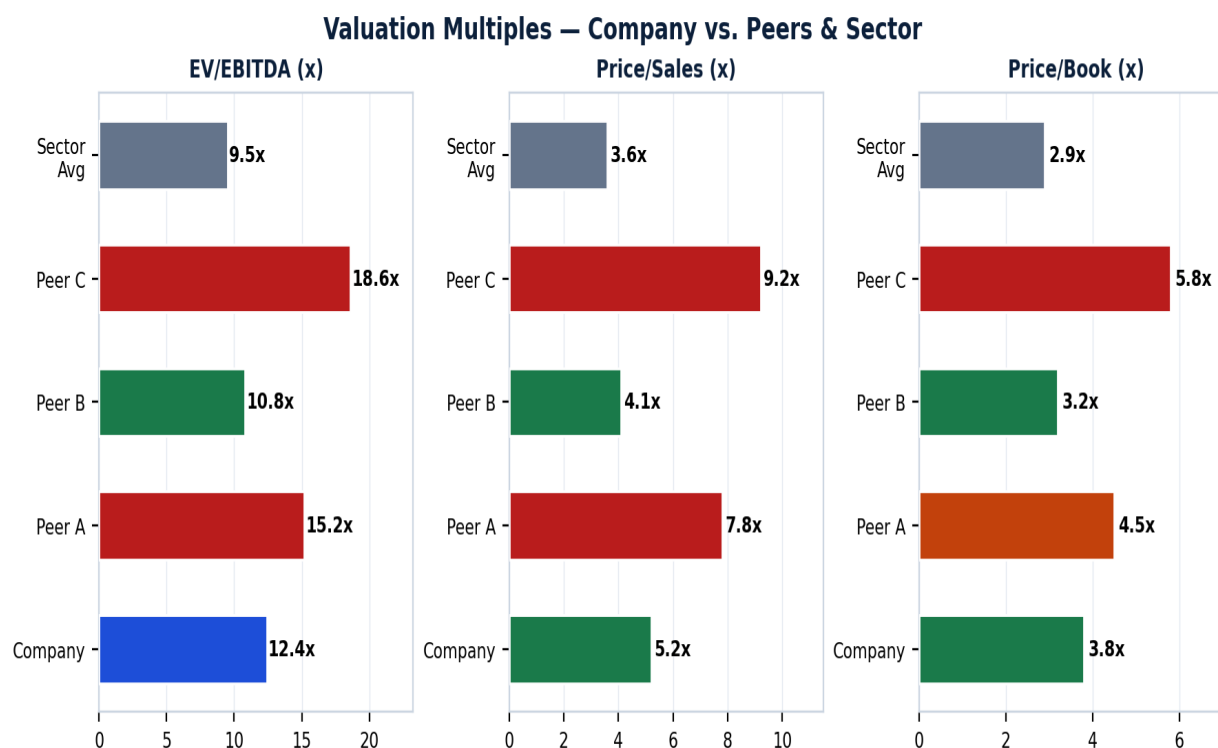
$$\text{Intrinsic Value per Share} = (\text{Enterprise Value} - \text{Net Debt}) \div \text{Diluted Shares}$$

$$\text{Terminal Value} = \text{FCF} \times (1+g) \div (\text{WACC} - g) \text{ [Gordon Growth Model]}$$

DCF Input	Typical Approach	Sensitivity Note
FCF Growth (Years 1-5)	Historical average ± analyst estimates	Key driver; stress-test +/- 3%
Terminal Growth Rate (g)	GDP growth: 2-3%	Never assume > inflation long-term

WACC	Risk-free rate + equity risk premium	Rising rates raise WACC, lower value
Margin of Safety	Buy at 20-40% discount to DCF value	Protects against model error

2. Relative Valuation — Multiples-Based



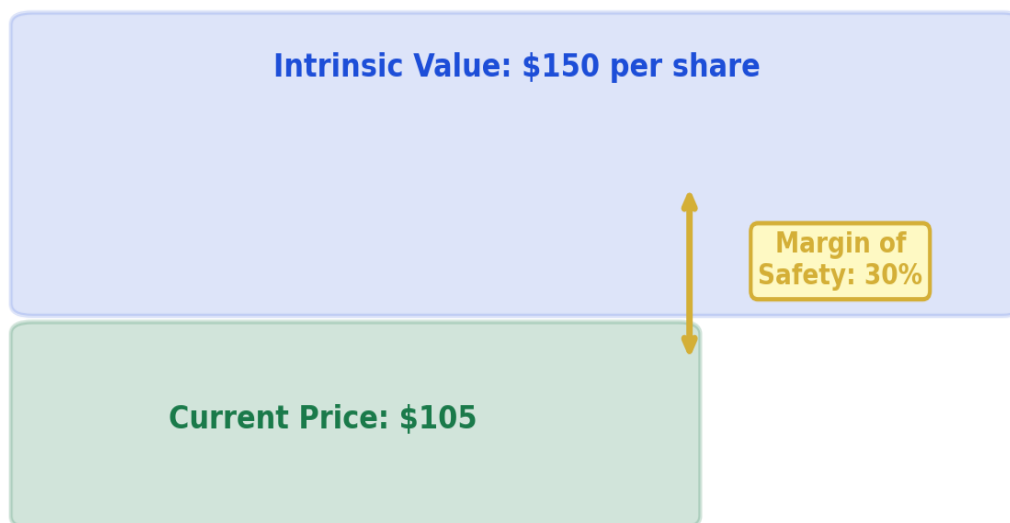
EV/EBITDA, P/Sales, P/Book: Compare the company to peers — cheaper multiples suggest undervaluation

Relative valuation prices a company by comparing its multiples to similar companies. The logic: if comparable companies trade at 15x EBITDA and this one trades at 10x with similar or better fundamentals — it may be undervalued.

Multiple	Best Used For	Key Advantage	Watch Out For
EV/EBITDA	All profitable companies	Capital-structure neutral	Ignores CapEx needs
P/E	Profitable mature companies	Most widely used	Distorted by one-off items
P/S	High-growth, low-profit	Works when no earnings	Ignores cost structure
P/B	Banks, financials, asset-heavy	Values tangible assets	Ignores growth & earnings
EV/Sales	Pre-profit, SaaS, growth	Consistent vs. P/S	High multiple needs high margin path

3. Margin of Safety — Benjamin Graham's Core Principle

Margin of Safety — Buy Below Intrinsic Value



Margin of Safety: The gap between intrinsic value and market price is your buffer against error

The **margin of safety** is the discount to intrinsic value at which you buy. Graham recommended a minimum 33% margin of safety. The larger the margin, the more protected you are from: model errors, unexpected business deterioration, and macroeconomic surprises. **Never buy at intrinsic value — always demand a discount.**

VALUATION FRAMEWORK — The Triangle Approach

Step 1 — DCF Analysis: Calculate intrinsic value based on projected free cash flows.

Step 2 — Relative Valuation: Compare key multiples (P/E, EV/EBITDA) to peers and sector.

Step 3 — Asset-Based Check: Compare price to book value (especially for asset-heavy businesses).

Triangulate: If all three methods point to undervaluation — high conviction.

Apply Margin of Safety: Only buy at 20-40% discount to your central value estimate.

CHAPTER 10

The FA Investment Framework

Fundamental analysis only creates alpha when applied through a disciplined, repeatable process. The best investors in history — Graham, Buffett, Lynch, Klarman — all followed structured frameworks. This chapter presents a complete end-to-end research and investment process.

The 8-Step FA Research Process

Step 1	Screen & Source	Use stock screeners (P/E < 20, ROE > 15%) or monitor market selloffs for opportunities.
Step 2	Business Understanding	Can you explain the business model in 2 minutes? If not — skip it (Buffett: 'Circle of Competence').
Step 3	Moat Assessment	Identify competitive advantages. Will the business still dominate in 10 years?
Step 4	Management Quality	Review CEO letters, insider ownership, capital allocation history, and compensation structure.
Step 5	Financial Analysis	Analyse 5 years of income statements, balance sheets, and cash flows. Identify trends.
Step 6	Valuation	Run DCF + relative valuation. Calculate intrinsic value range. Determine margin of safety.
Step 7	Risk Assessment	Identify top 3-5 risks (competitive, regulatory, macro, execution). Is the thesis fragile?
Step 8	Entry & Position Sizing	Use TA for entry timing. Size position based on conviction and risk/reward.

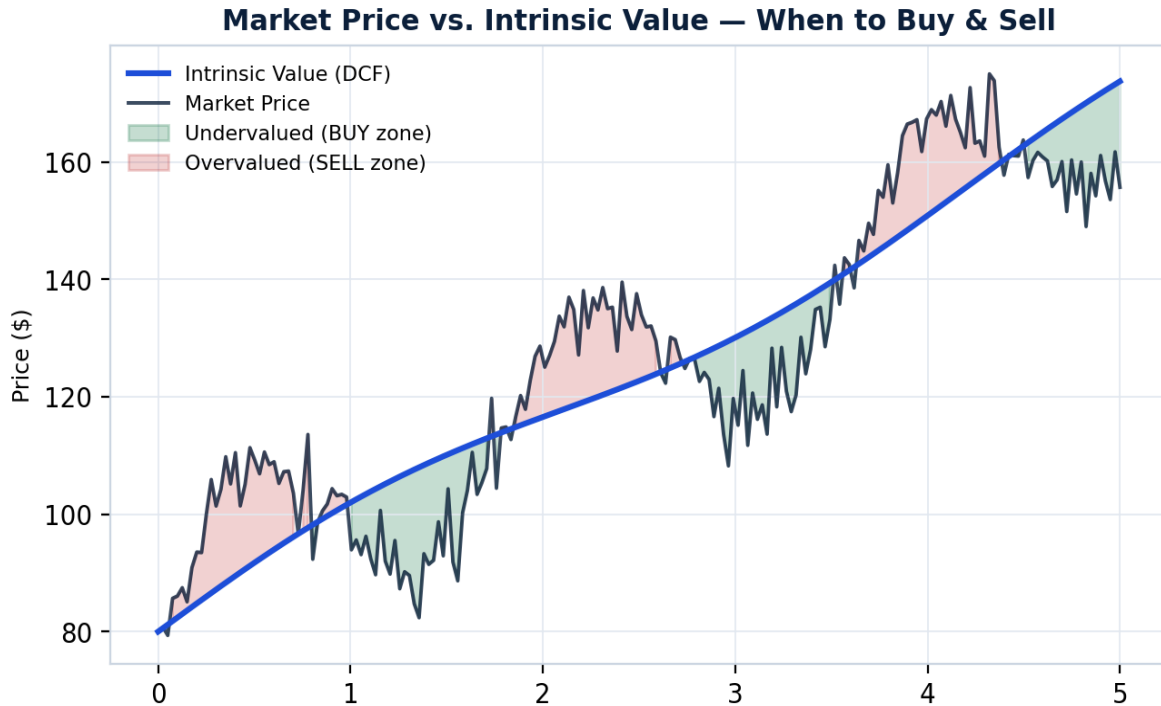
The Ultimate FA Investment Checklist

The Ultimate FA Investment Checklist

- ☐ **Business Quality**
Durable competitive advantage? Moat? Pricing power?
- ☐ **Management Quality**
Capital allocation? Insider ownership? Track record?
- ☐ **Financial Health**
Low debt? Strong FCF? Improving margins?
- ☐ **Growth Runway**
TAM large? Revenue CAGR > 10%? Expanding market share?
- ☐ **Valuation**
Trading below intrinsic value? Margin of safety > 20%?
- ☐ **Risk Assessment**
Regulatory, competition, macro, or currency risks?
- ☐ **Catalyst**
Upcoming earnings beat? New product? Buybacks?
- ☐ **Entry Timing**
Technical support level? Oversold on RSI?

Pre-investment checklist: Every item should have a clear, evidence-based answer before committing capital

Price vs. Intrinsic Value — When to Buy & Sell



Buy in the green zone (price < intrinsic value). Sell or reduce in the red zone (price > intrinsic value).

Combining FA with Technical Analysis for Optimal Entry

Even if you have identified the right stock at the right price using FA, poor entry timing can mean holding a paper loss for 12+ months before the thesis plays out. Use **technical analysis** to refine your entry:

- **Wait for support levels:** Enter near key S/R zones identified on the daily/weekly chart.
- **Confirm with RSI:** Enter when RSI < 40 (oversold) to minimise downside risk from momentum.
- **Use candle confirmation:** A bullish engulfing or hammer at a support level validates the entry.
- **Avoid catching falling knives:** If a stock is in a strong downtrend, wait for evidence of stabilisation.

When to Sell — The Exit Framework

Sell Signal	Description	Action
Thesis Broken	Business moat eroded; structural competitive loss	Sell immediately — don't average down
Valuation Stretched	Price exceeds intrinsic value by > 30-50%	Reduce or full exit; redeploy capital
Better Opportunity	Found a superior risk/reward elsewhere	Rotate capital to higher-return opportunity
Earnings Deterioration	2+ consecutive quarters of margin compression	Reduce; monitor closely; reassess
Macro Headwind	Rising rates + high multiple = extreme risk	Trim to reduce overall portfolio risk

THE COMPLETE FA INVESTMENT THESIS TEMPLATE

Company: [Name, Ticker, Sector, Market Cap]

Business Summary: [What do they do? Revenue model? Customers?]

Moat: [What protects long-term profitability? Network / Cost / Brand / IP / Scale?]

Management: [CEO track record, insider ownership %, capital allocation quality]

Key Financials: [Revenue CAGR 5yr, Net Margin, ROE, Debt/EBITDA, FCF Yield]

Valuation: [DCF Intrinsic Value, P/E vs. Peers, Margin of Safety %]

Catalysts: [Upcoming events that could re-rate the stock higher]

Key Risks: [Top 3 risks that could invalidate this thesis]

Entry Strategy: [Technical entry level, position size, stop-loss trigger]

Target Price & Timeline: [\$X in Y months based on Z multiple expansion / earnings growth]

This eBook is for educational purposes only and does not constitute financial advice. Investing involves risk, including possible loss of principal. Past performance is not indicative of future results. Always conduct your own due diligence and consider consulting a licensed financial advisor before making investment decisions.